SECTION 1 (41 marks)

Azure

You work for Azure plc (Azure), a UK-based company that prepares financial statements in accordance with IFRS Accounting Standards. The main business activity of Azure is the manufacture and retail of clothing and accessories.

The company has recently made significant changes to its operations, including deciding to dispose of its accessories division. Relevant information is in Appendix 1.

You need to review the accounting for a lease contract relating to new energy-efficient manufacturing equipment, details of which are included in Appendix 2 and advise why it is a lease.

Azure set up a share-based payment scheme for senior management during the year. Details are in Appendix 3.

The draft statement of profit or loss for the year ended 30 June 20X3, is included in Appendix 4.

Note: Dates in this sample paper are 20X3, but your assessment will use current dates.

QUESTIONS:

Question 1

Advise how the assets in the accessories manufacturing division in Appendix 1 should be accounted for in the year ended 30 June 20X3 and prepare, showing all workings, any journal entries necessary.

(13 marks)

Question 2

Using the information in Appendix 2:

a) Advise why the proposed contract contains a lease; and

b) Advise how the right of use asset should be accounted for in the year ended 30 June 20X3 and prepare, showing all workings, any journal entries necessary.

You do not need to account for any liability that arises.

(12 marks)

Question 3

Advise how the share-based payment scheme in Appendix 3 should be accounted for in the year ended 30 June 203 and prepare, showing all workings, any journal entries necessary

(9 marks)

Question 4

Construct the statement of profit or loss of Azure for the year ended 30 June 20X3, using the information in Appendix 4, and taking into account any adjustments from Questions 1,2 and 3.

This question must be answered in the Excel spreadsheet provided.

(7 marks)

(Total: 41 marks)

Notes:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments

APPENDIX 1 (Section 1)

Disposal of accessories division

On 1 January 20X3, Azure decided to close its accessories manufacturing division, which is a major line of business for Azure.

The assets in the division were advertised for sale at their estimated fair value from 1 March 20X3 and were available for immediate sale. The division comprises buildings and plant and machinery.

Azure is still actively marketing the division for sale at 30 June 20X3.

Relevant financial information relating to the assets of the division is as follows:

- The carrying amounts of the division assets at 28 February 20X3 were:

	£'000
Buildings	3,318
Plant and machinery	1,320
	4,368

- Buildings are measured at fair value. In previous years, the buildings had been revalued upwards and Azure does not make an annual transfer between the revaluation surplus and retained earnings. An independent valuer advised that the buildings had a fair value of £3.5m at 28 February 20X3 and 1 March 20X3. This has not been reflected in the carrying amounts above. Selling costs of 1% of the total fair value would be incurred to sell the building.
- Plant and machinery, which is measured at historical cost. An independent valuer has advised that the plant and machinery had a fair value of £1.3m at 1 March 20X3. No selling costs would be incurred in respect of the plant and machinery.
- The fair values and expected selling costs of the assets were unchanged at 30 June 20X3.
- Azure considers any impairment to be material and presents impairment separately in the financial statements.

Azure has continued to account for the assets in accordance with IAS 16 *Property, Plant and Equipment* in the year ended 30 June 20X3. Azure's accounting software automatically calculates depreciation and will automatically adjust depreciation for any changes made in the year. You are not required to prepare any journal entries relating to depreciation.

APPENDIX 2 (Section 1)

Lease contract

Azure entered into a lease contract on 1 November 20X2 for the use of manufacturing equipment from New Tech for a three-year term, subject to a maximum usage limit of 10,000 machine hours per annum, which was agreed as meeting Azure's needs. Under the terms of the contract, Azure has the right to use the asset as required in its operations. The asset can only be substituted by New Tech on a temporary basis if it is required to be repaired. New Tech recommends that all of Azure's manufacturing staff complete a training programme on how to operate the equipment. Azure is free to determine how the equipment can be used and in which of its factories it is positioned.

The terms of the contract require that Azure pay an initial arrangement fee of £20,000 prior to the commencement of the contract. Thereafter it will pay an annual amount of £42,000, payable in arrears. The financial accountant has already correctly calculated that the present value of the future lease payments is £112,000 and recorded this a lease liability.

Azure has the option to buy the equipment on 30 June 2025 at a cost of £5,000 and is highly likely to take up this option as it will allow it to operate the equipment for a five-year period required to satisfy a contract with a significant customer.

The only accounting to date was to record the initial arrangement fee paid as an general and administrative expense when incurred and the present value of the future lease payments calculated by the financial accountant have been recorded as Dr Contract asset, Cr Lease liability.

Azure's accounting software automatically calculates depreciation and will automatically adjust depreciation for any changes made in the year. You are not required to prepare any journal entries relating to depreciation.

APPENDIX 3 (Section 1)

Share-based payments

On 1 July 20X1 Azure issue 10,000 share options to the 40 members of senior management which vest after three years on 30 June 20X4, assuming staff have had continuous employment with Azure throughout the vesting period. The fair value of each option on 1 July 20X1 was £8.

At 30 June 20X2 an expense of £774,000 was correctly recognised in the financial statements.

No adjustment has been made in respect of these share options during the year ended 30 June 20X3. Three members of senior management left during the year, and it is expected that a further five will leave before 30 June 20X4.

APPENDIX 4 (Section 1)

Statement of profit or loss

The accessories division (Appendix 1) meets the definition of a discontinued operation on 1 March 20X3. The division made a profit for the year ended 30 June 20X3 of £1,150,000:

	£'000
Revenue	4,330
Cost of sales	(1,700)
General and administrative expenses	(290)
Other operating expenses	(980)
Income tax expense	(210)
Profit	1,150

The draft statement of profit or loss for Azure, which includes the result of the accessories division is:

	Draft £'000
Revenue	25,180
Cost of sales	(10,023)
Gross profit	15,157
General and administrative expenses	(4,578)
Other operating expenses	(2,354)
Operating profit	8,225
Interest income	35
Profit before financing and income taxes	8,260
Interest expenses on borrowings and lease liabilities	(849)
Profit before income taxes	7,411
Income tax expense	(1,640)
PROFIT	5,771

Also provided as an Excel resource

END OF SECTION

SECTION 2 (40 marks)

Lamlash plc

Lamlash plc (Lamlash) is the parent company of a group of manufacturing companies and prepares financial statements in accordance with IFRS Accounting Standards. The group does not invest in assets or provide finance as part of its main business activities.

The directors of Lamlash are keen to grow by acquisition and increased an existing investment in Brodick Ltd (Brodick), during the year ended 31 December 20X3. Information relating to Brodick is included in Appendix 1.

QUESTIONS:

Question 5

Advise how the increased investment in Brodick details in Appendix 1 should be classified by Lamlash following the increase in shareholding.

(4 marks)

Question 6

Using the information in Appendix 1:

a) Advise how the goodwill in Brodick should be measured at the date of acquisition; and

b) Calculate, showing all workings, the goodwill arising on the acquisition of Brodick.

You are not required to prepare any journal entries as part of this question.

(13 marks)

Question 7

Prepare the consolidation journal entries for Brodick for the year ended 31 December 20X3 using the information in Appendix 1. You should include the Final Step adjustment.

(18 marks)

Question 8

Construct the consolidated statement of financial position extracts of Lamlash as at 31 December 20X3 using the information in Appendix 2 and taking account of any adjustments from Question 7.

This question must be answered in the Excel spreadsheet provided.

(5 marks)

(Total: 40 marks)

Notes:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments.

APPENDIX 1 (Section 2)

Investment in Brodick

Increase in the investment in Brodick

Date	*Shares Acquired*	*Cumulative shareholding*	*Percentage ownership*
July 20W4	150,000	150,000	15%
1 July 20X3	325,000	475,000	47.5%

- In July 20W4, Lamlash bought 150,000 of the 1,000,000 £1 ordinary shares in Brodick for a total consideration of £792,500. Lamlash made an irrevocable election to measure this investment at fair value through other comprehensive income at the date of purchase and has correctly accounted for the investment since that date.
- At 30 June 20X3, Brodick's shares had a fair value of £6.21 per share. The cumulative increase in fair value of has been correctly recognised in other comprehensive income and is accumulated in equity as at that date.
- On 1 July 20X3, Lamlash acquired an additional 325,000 shares in Brodick. As part of the conditions of the purchase, Lamlash will appoint three of the five directors to Brodick's board. The other shares in Brodick are distributed evenly amongst several interested parties, none of whom have a controlling interest. The cost of the additional investment has been debited to the Brodick financial asset balance.

Additional information relating to the measurement of goodwill

- Lamlash paid a cash consideration of £2,047,500 for the additional 325,000 shares purchased on 1 July 20X3. Lamlash also transferred 10,000 of its £1 ordinary shares as part of the consideration. The shares had a fair value at the date of transfer of £8.62 each. Lamlash incurred legal fees of £50,000 when negotiating the acquisition. The financial controller included the fair value of the shares issued in the carrying amount of the investment and in share capital and share premium. The transaction costs have been written off as an expense in the statement of profit or loss.
- Lamlash measures non-controlling in interests based at their proportionate share of the fair value of the net assets of the subsidiary.
- The statement of financial position of Brodick at its year end of 31 December 20X2 showed retained earnings of £2,435,000. Brodick's profit for the period ended 31 December 20X3 was £650,000. Brodick's profit can be assumed to accrue evenly across the year.
- Included in Brodick's non-current assets is a property which cost £1 million and was being depreciated over its useful life of 50 years. The property had a carrying amount of £800,000 at 1 July 20X3. The property was estimated to have a fair value of £1.2 million at 1 July 20X3 and a remaining useful life of 42 years from that date.
- Brodick has a contingent liability regarding an unresolved claim for damages against it arising from an industrial accident. The fair value of the liability is

£350,000. There has been no change in the status of the claim at 31 December 20X3.

Additional information required for the consolidation

- Due to an unexpected change in government legislation, any goodwill in Brodick will need to be impaired by £500,000 at 31 December 20X3.
- Brodick sold metals to Lamlash for a total of £800,000 in September 20X3. Brodick applied a mark-up of 25% to the transactions. At 31 December 20X3, Lamlash still held metals with a purchase cost of £400,000 (50% of the original purchase) in inventories.

APPENDIX 2 (Section 2)

Consolidated SOFP (extracts)

	Lamlash group (excluding Brodick) £'000	*Brodick £'000*
EQUITY		
Share capital	2,000	1,000
Share premium	970	-
Retained earnings	89,568	3,085
	92,538	4,085
Non-controlling interests	19,870	-
Total equity	112,408	4,085

Also provided as an Excel resource

END OF SECTION

SECTION 3 (19 marks)

Gilmour

You work in the reporting team at Gilmour Ltd (Gilmour), a manufacturer and global distributor of stationery products. Gilmour prepares its financial statements in accordance with IFRS Accounting Standards and its sustainability related disclosures in accordance with Global Reporting Initiative (GRI) Standards.

Gilmour launched its five-year sustainability plan in 20X3 which set out an aim to reduce energy consumption from non-renewable sources by 50% within five years.

Details of the finance provided to a supplier, including the assessment of an increase in credit risk are included in Appendix 1.

You have also been asked to review the draft disclosures in the company's sustainability report. Extracts relating to Gilmour's energy-related impacts are included in Appendix 2 and relevant extracts from GRI 302: *Energy 2016* are provided in Appendix 3.

While reviewing the draft sustainability disclosures, you notice that the reported reduction in non-renewable energy usage includes estimated figures that have not yet been verified. When you raise this with the finance director, who is a CA, she instructs you to leave the numbers unchanged as "the market expects us to show progress against the five-year sustainability plan." She also suggests that correcting the figures would "create unnecessary questions from investors" and reminds you that your performance bonus depends partly on timely completion of the report.

Questions:

QUESTION 9

Using the information in Appendix 1:

a) Advise, with supporting calculations, how increase in credit risk should be accounted for in the year ended 31 March 20X4; and

b) Evaluate whether the sustainability disclosures relating to suppliers are fairly stated.

You do not need to prepare any journal entries when answering this question.

(9 marks)

QUESTION 10

Recommend improvements that could be made to Gilmour's energy-related disclosure extract provided in Appendix 2 to ensure consistency with the requirements of GRI 302 provided in Appendix 3 to provide information that is useful to stakeholders.

(5 marks)

QUESTION 11

Advise, with reference to the ICAS Code of Ethics, on the ethical issues arising from the Finance Director's response to your query on the non-renewable energy usage figures. You do not need to include any actions.

(5 marks)

(Total: 19 marks)

APPENDIX 1 (Section 3)

Loan to customer

Financial information

On 1 April 20X3, Gilmour provided a loan for £1.2 million to one of its wood suppliers. The loan was provided to allow the supplier to improve its child labour and human rights record by ensuring its employees are aged at least sixteen and by ensuring fair rates of pay for all employees in return for providing the loan, Gilmour has the exclusive right, but not the obligation, to purchase the first 100,000 tonnes of wood extracted from the forest. The carrying amount of the loan asset, before accounting for any loss allowance, has been calculated as £1,922,000 at 31 March 20X4. An associated loss allowance for 12 month expected credit losses of £50,000 was recognised at 1 April 20X3 and has not been amended.

On 31 March 20X4, the supplier was found to be in financial difficulties, and its credit rating has been downgraded. The directors of Gilmour have determined that there is significant increase in credit risk since initial recognition, however, the asset is not considered to be credit impaired. 12-month expected credit losses are estimated to be £80,000 and lifetime expected credit losses are estimated to be £512,000.

Extracts from Gilmour's draft sustainability disclosures

Treatment of suppliers

We operate Ethical Sourcing Principles "ESPs" which set out the minimum expectations of how both the company and its key suppliers conduct business. We're committed to the careful selection of suppliers to ensure they adopt the same standard of human rights in their operations and supply chains as we do. The fair treatment of suppliers includes paying a fair price for products and providing short-term financial support where required. The financial support is provided at competitive interest rates and does not come with any conditions attached. There is no significant financial risk to Gilmour of providing the financial support.

APPENDIX 2 (Section 3)

Extracts from GRI 302: Energy (2016)

Disclosure 302-1 Energy consumption within the organization

The reporting organization shall report the following information:

a. **Total fuel consumption within the organization from non-renewable sources, in joules or multiples, and including fuel types used.**

b. **Total fuel consumption within the organization from renewable sources, in joules or multiples, and including fuel types used.**

APPENDIX 3 (Section 3)

Extract from draft sustainability disclosure

Extracts from Gilmour's draft sustainability disclosures

Our energy consumption from non-renewable sources has decreased in the current year, which is in line with the targets set out in our five-year sustainability plan. The total consumption of energy can be analysed as follows:

	20X3 *gigajoules (GJ)*
Renewable energy sources	1,896
Non-renewable energy sources	2,342
Total energy sources	4,238

END OF ASSESSMENT